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Zoetis, Inc. (ZTS)

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MANAGEMENT DISCUSSION SECTION

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Good afternoon, everybody. I'm Chris Schott from JPMorgan. I'm very pleased to be introducing Zoetis today. From Zoetis, we have Kristin Peck, Chief Executive Officer, and her first presentation as CEO at JPMorgan.

So with that, I turn over to Kristin.

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

Thank you. Thank you, Chris. Thanks, everybody. I'm excited to be with you today as I step into my new role as CEO of Zoetis. I've been with Zoetis since its founding and I've held a number of roles over those years, overseeing our commercial development, manufacturing and supply chain, our global diagnostics and our global poultry businesses, and most recently as our Group President for U.S. Operations, Business Development and Strategy.

The past seven years have been an incredible journey for Zoetis. As we've built a global industry leader, we've expanded into new businesses and we grew faster than the market. We've established a consistent track record of delivering strong returns for our shareholders.

We're on a strong path of value creation, and with a proven strategy, a relentless customer focus and market-leading innovation. But we're just getting started. As the animal health landscape continues to evolve, we see many opportunities for Zoetis to build upon our market leadership, deliver innovative new solutions and create greater value, veterinarians, livestock producers and pet owners around the world.

But before I talk about some of these opportunities and our plans going forward, I need to remind you of some fun housekeeping items. So, my comments today will include forward-looking statements and non-GAAP measures. You can find more information on these risks and a reconciliation of the non-GAAP numbers in the slide deck we published this morning and in the SEC filings on our corporate website.

Okay. So, let's dive in. I'll start with a quick overview of Zoetis and its strong value proposition for those of you who are not as familiar with our company, and then I'll cover some of my focus areas as we drive our strategy forward. Afterwards, Glenn and I are happy to take your questions in the Georgia Room across the way.

First, Zoetis is a clear leader in global animal health with more than $6 billion in annual revenues, growing faster than the market. Our long-term goal is to continue to lead the market and outpace industry growth rates. And our outlook is supported by attractive and steady market fundamentals, which I'll talk about shortly. We have a diverse and durable portfolio and we're well positioned to address the market dynamics, with leading products and innovative R&D programs complemented by external innovations across the continuum of care.

Our portfolio of leading product lines covering 8 species and including 12 blockbusters currently in the market, which generate more than $100 million each in annual revenue. In the last five years, we had introduced more than 1,100 new products and lifecycle innovations and we continue to invest in future innovations. We have direct operations in about 45 countries, which has proven to be a key competitive differentiator for us.

Our field force colleagues serve as expert hands-on partners for our customers, receiving among the highest rankings in the industry according to our customer surveys and generating strong demand for our products. Our company has industry leading capabilities, a proven business model and a track record of execution and investments that has helped us deliver strong financial results and shareholder returns. And as CEO, I intend to build and drive forward on this strong foundation.

Critical to this goal is that we remain agile and forward-thinking to address the changing industry dynamics and customer needs in animal health. So let me quickly cover some of the demographic and market trends that are shaping our thinking and investment plans for the coming years.

When you look across animal healthcare, animal health is one of the most appealing sectors based on the consistency and predictability of its growth drivers. We compete in a large global market which is steadily growing, continuously evolving and creating new growth areas for us to conquer. Our addressable market opportunity is over $40 billion, including the traditional markets we've been in for decades, such as medicines, vaccines, parasiticides and medicated feed additives, and smaller but fast-growing areas where we are expanding, such as diagnostics, BioDevices, genetics and precision livestock farming. On average, our traditional market segments grow at around 4% to 6% annually, while double-digit growth is expected in many of the expanding markets where we compete.

Among the drivers of this sustained demand is the growing global population, which is expected to increase from 7.7 billion today to over 9.7 billion by 2050. The growing middle class, including more millennials and Gen Z populations, increasingly view their pets as family members and exhibit more willingness to spend on their pets' healthcare needs.

Protein consumption is also growing. And even with the increased interest in plant-based or lab-based meats and other protein alternatives, animal-based proteins will remain critical to meeting the demand of the world's growing population. And while we expect to see faster growth in developing markets, advances in animal healthcare, increased medicalization rates, technology adoption and greater animal protein exports are trends that will be driving growth in more mature markets as well. And with all these demographics and trends, there's naturally more opportunity for Zoetis to serve our customers in both livestock and companion animals.

So, moving to some of the rising trends that are shaping the future of our industry. For livestock producers specifically, there's certainly no shortage of challenges that we're trying to solve for them in an evolving operating environment, from the need of more efficient production and farming methods and ways to address a shortage of labor, to increasing profitability of their practices, harnessing big data to drive smarter decision-making, and fighting emerging infectious diseases that threaten the health of their animals and the viability of their businesses.

At the same time, there is a clear need to increase global access to veterinary care and to accelerate innovation, innovation that will create more sustainable practices and solutions with less environmental impacts and meet greater standards for food safety and animal welfare.

In companion animals, pet care is becoming increasingly more humanized, and Zoetis is at the heart of enabling greater connections between animals, vets and their pet owners. We're looking to serve as the catalyst for more advanced treatments for diseases and specialty care, new and more convenient healthcare delivery methods and engagement channels, and greater use of technology and real-time data-driven insights that improve health.

In both livestock and companion animals, we're also seeing healthcare solutions being increasingly powered by digital capabilities and data analytics and becoming increasingly interconnected with greater integration across prediction, prevention, detection and treatment. With that backdrop, let's move on to why we think Zoetis is well-positioned to capitalize on the many growth opportunities in animal health.

As you see on slide 6, Zoetis is the worldwide animal health leader based on revenue, with strong market positions across species, therapeutic areas and geography. By species, we have a number one position in companion animal, cattle, swine and fish products, which in fact make up nearly 90% of our total revenues. We also lead in key markets globally, including number one positions in North America, Latin America and Asia. This leadership gives us deep and valuable customer insights across markets, species and the continuum of care, while generating the financial strength and flexibility to invest in the next generation of products and services for our customers.

The strength of our portfolio is also driven by our disciplined management approach. Zoetis has always focused on building a powerful mix of new products and lifecycle innovations to sustain our market leadership and above-market growth rates. We have a broad portfolio of approximately 300 product lines across 5 therapeutic areas and 8 species with established leadership positions, as I've mentioned.

Furthermore, our leading brands represent more than one-third of all blockbuster products in the market, and a blockbuster in animal health generates more than $100 million in annual revenue. We also have the most diversified portfolio in the industry, with our top 10 products accounting for around 40% of our total revenue. This diversity positions us well for various market conditions and evolving customer needs.

Another key characteristic of our animal health portfolio is the durability of our products, which have an average market lifespan of about 29 years if you look at our top product lines. This is a testament to the focus on lifecycle innovations and continued demand for our leading products. For example, our blockbuster product line, like the anti-infective DRAXXIN and anti-inflammatory RIMADYL, are each more than 15 years old.

And while we generate durable revenue streams from these type of established product lines, we also continuously strengthen our portfolio through new products and lifecycle innovations. These can include improving and extending platforms across new species, developing new formulations or routes of administration, and expanding into new markets. We've introduced over 1,100 new products and lifecycle innovations in the last five years, and we continue to build on our leading portfolio, including recent lifecycle innovation in parasiticide franchises such as Simparica, Revolution, and ProHeart.

At Zoetis, our innovation is discovered and developed both through internal R&D and external business development. We are building and integrating a unique set of capabilities and assets to address our customer needs, from prediction and prevention to detection and treatment of what we call the continuum of care.

In prediction, we develop genetic products like CLARIFIDE Plus, which helps our dairy farmers identify wellness traits that can enable better management, selection and breeding decisions. In prevention, we're strengthening our portfolio of vaccines and parasiticides, resulting in increased efficacy and broader application across more species.

And as you know, we're preparing for the launch of Simparica Trio in the EU later this quarter and in the US as well, pending approval. This product is a key internal innovation that combines flea and tick treatment with the prevention of heartworm disease and the treatment of gastrointestinal parasites. We expect to be the first to market in the US with this type of combination product, and we believe it has significant blockbuster potential.

We're also working to expand market approvals for our new vector vaccine franchise, Poulvac Procerta HVT-ND for poultry, and we expect additional offerings in our vector vaccine franchise in the coming years. In other vaccine research, we established a new R&D facility with Texas A&M University to develop transboundary and emerging infectious disease vaccines. This includes an initial focus on foot and mouth disease, which can cause illness in cattle, pigs and sheep.

We're also excited to explore livestock immune systems as part of a new partnership with Colorado State University. In our work there, we will target new immunotherapies that could become alternatives to antibiotics in food-producing animals. Our initial research will focus on potential biotherapeutics for cattle, which could yield broader implications for swine and poultry in the long term.

And last year, we also acquired a nutrition-focused animal health business called Platinum Performance. It brings us premium nutritional formulas and a unique approach to the field of scientific wellness for horses, dogs and cats. The addition of Platinum will further strengthen and diversifies Zoetis' portfolio in the equine and pet care markets and provide further insights into how a wellness regimen can help nurture and maintain healthier animals.

In addition, we've made significant investments in detection capabilities. Acquiring Abaxis, a leader in point of care diagnostics in 2018 and, more recently, getting into reference lab operations with the acquisition of Phoenix Lab and ZNLabs in the US. We believe that by building a more holistic Zoetis diagnostics portfolio and pairing it with our preventatives and treatments, we can provide veterinarians with more valuable services and insights into the care of their animal patients.

We're also continuing to expand and grow our strong portfolio of medicines for treatment of pain and skin conditions in companion animals. We've been advancing our monoclonal antibody program for osteoarthritis in dogs and cats, as well as looking for new solutions to treat and control illness in livestock.

And as technology advances and as adoption accelerates across markets, we are investing to develop innovative capabilities in sensor technology, robotics, automation, and digital and data analytics. These capabilities will help us differentiate and further integrate our offerings and services to help deliver more efficient and better outcomes for our customers.

For example, we are increasingly focused on digital and data solutions that can help our customers measure key health and performance indicators for their animals to detect potential issues sooner and provide earlier and more individualized care to the affected animal. We are making important progress in areas such as precision livestock farming with our SMARTBOW system, and we plan to lead the way in digital through partnerships with our customers and technology companies outside of animal health. In short, we believe innovation is going to come from many different sources, both from internal R&D and targeted businesses development and we continue investing in the most promising opportunities.

In addition to digital products like SMARTBOW and our poultry BioDevices, we are also transforming the customer experience in animal health by rethinking how we engage and do business with our customers. A key part of this is connecting with our customers where they are and not only at traditional physical touch points, but through digital and online channels.

Like all aspects of the economy, vet and pet owner engagement in social media, online communities and digital product research are increasingly driving pet care decisions and dietary choices. And our investments in digital and data analytics will allow us to increase efficiencies by enabling greater transparency, automation and data insights across our business and for our customers.

We've also introduced a new marketing cloud software which generates data insights that help us better understand our customers' needs. Ultimately, we can deliver tailored solutions and services with greater personalization, relevance and consistency. We're also focused on reaching new customers through digital channels that complement our direct touch points. For example, our Zoetis US Petcare Rewards program has enrolled over 1 million pet owners and pets, who get redeemable points for use on products and services at their veterinary clinics.

Now let me turn to some of the financials. Our strong, diverse portfolio and commitment to continuous innovation enabled us to deliver operational revenue growth that has outperformed the industry since our inception in 2013. For the last seven years, the traditional animal health industry has grown on average between 4% and 6% operationally, with Zoetis growing faster than the market at around 8% operationally for the same period. In 2019, we continue to see strong growth in companion animals being driven by our parasiticides, key dermatology products and diagnostics.

In livestock, our revenue growth in poultry was offset this year by US cattle market headwinds and the impact of African swine fever in China. And while we're mindful of the industry headwinds, we remain confident in the health of our livestock business based on long-term industry fundamentals and opportunities to capture growth through innovation and integration across our offerings.

Looking ahead, I'm confident that the investments we've been making in our innovation pipeline, our global field force, manufacturing and R&D organization will continue to support sustainable growth for Zoetis.

At the same time, we've been delivering on our goal of growing adjusted net income faster than revenues through operational discipline and maintaining strong margins. Key drivers of this performance include strong revenue momentum with a favorable shift toward higher-margin products, as well as disciplined pricing and some foreign exchange favorability, which drove gross margin improvements.

We've also maintained disciplined operating expense management and an efficiency focus in areas such as our supply chain optimization program. We believe that investments across our focus areas, including field force expansion, manufacturing and IT infrastructure, and anticipated new product launches will be accretive to our margins long term as we phase out some of the upfront costs.

Our strong financial results have historically allowed us to make important investments for growth, while returning excess capital to our shareholders. In 2019, with our R&D, capital expenditure and business development, we invested approximately $1.1 billion internally and externally to support our future growth. We also paid $315 million in dividends and bought back around $625 million in shares in the year. In total, we returned $940 million in cash to shareholders through buybacks and dividends in 2019. And demonstrating our commitment to capital returns to shareholders, this past December, we announced a 22% dividend increase.

Looking ahead, our long-term value proposition for shareholders remains focused on four key objectives: first, growing our revenue in line or faster than the market; second, continuing to grow our adjusted net income faster than revenue; third, targeting investment opportunities that are meaningful to customers and create value for shareholders; and fourth, returning excess capital to shareholders as we continue to invest in the business.

Our long-term value proposition had been tied to the execution of our growth strategy. I'm committed to continuing with this strategy, and I want to stress five priorities for the next stage of Zoetis' journey. First, driving innovative growth. Innovation is in our DNA of Zoetis, and that will remain front and center to deliver next-generation products and lifecycle innovations across the continuum of care.

Second, enhancing our customer experience. Delighting our customers has been the key to our success but we will strive to do even better. In today's world, that means becoming more connected with our customers, making it easier to do business with us, and delivering more compelling and personalized experiences for them. We want to integrate our products and solutions in a way that truly benefits our customers.

Third, leading in digital and data analytics. By developing new digital products or enhancing existing products through digitally connected solutions, we can create more personalized, relevant and consistent experiences for our customers and drive increased operational efficiencies.

Fourth, to continue to cultivate a high-performing organization. Our past and future success is driven by our phenomenal team of talented colleagues around the world. And I'm committed to Zoetis continuing to be a company our colleagues can be proud of and to attract, retain and develop the best talent in the industry.

Finally, to champion a healthier and more sustainable future. As the world's leading animal health company, the work we do every day makes a meaningful difference in society by keeping animals healthy, by fighting emerging infectious diseases that threaten our food supply, and by supporting livestock producers and the veterinary profession. By taking further steps in promoting a safe and sustainable global food supply, increasing access to animal care around the world and taking actions to protect the environment, we can do even more.

Bottom line, Zoetis is well-positioned with industries most diverse portfolio and integrated solutions across the continuum of care. We work hard every day to be the partner of choice for our customers around the world, and we are strategically investing to ensure that we remain the leader in animal health. I'm incredibly confident in our future, and I am excited to be leading Zoetis into the next stage of growth.

Glenn and I look forward to taking your questions across the hall. Thank you.